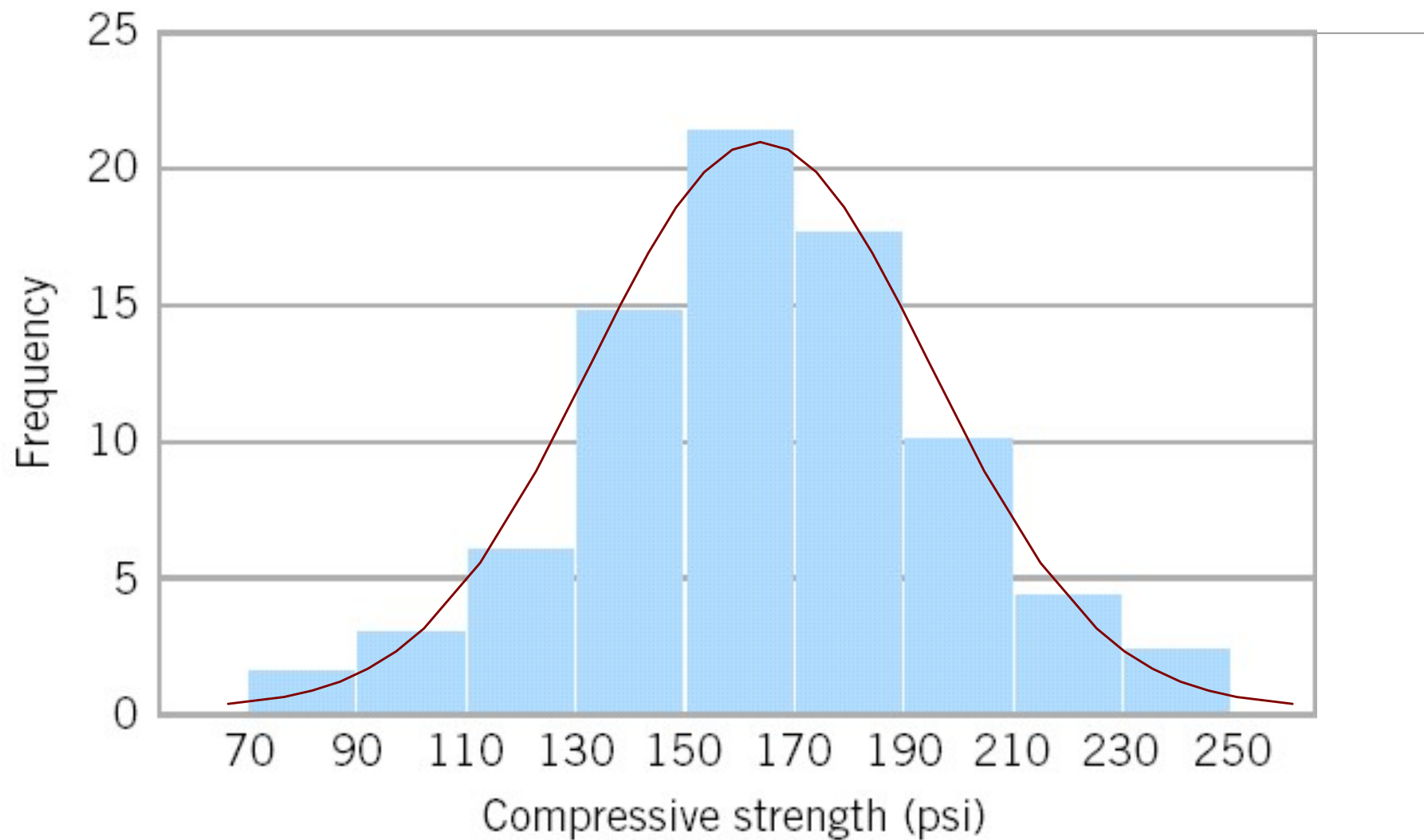


Probability Plots (Section 4.10)

- **Probability plotting** is a graphical method for determining whether sample data conform to a hypothesized distribution based on a subjective visual examination of the data.

The main idea



Quantiles of a distribution versus sample quantiles

Defn: Let p be a number between 0 and 1, the $100p\%$ th **population quantile** of the distribution of a continuous rv X , denoted by $\zeta(p)$, is defined by:

$$p = F(\zeta(p)) = \int_{-\infty}^{\zeta(p)} f(y)dy$$

Defn: The $100k$ th **sample quantile** is a data value such that approximately $100k\%$ of the observations are at or below this value and approximately $100(1 - k)\%$ of them are above it.

- n ordered observations: j^{th} smallest $\rightarrow 100(j-0.5)/n)^{\text{th}}$ quantile

A probability plot

A plot of n pairs

(j th smallest observation, $(100(j-0.5)/n)$ th quantile of the distribution)

on a two-dimensional coordinate system is called a probability plot.

If this plot is a reasonably straight line, then you may conclude that the sample came from the distribution that we used to find quantiles.

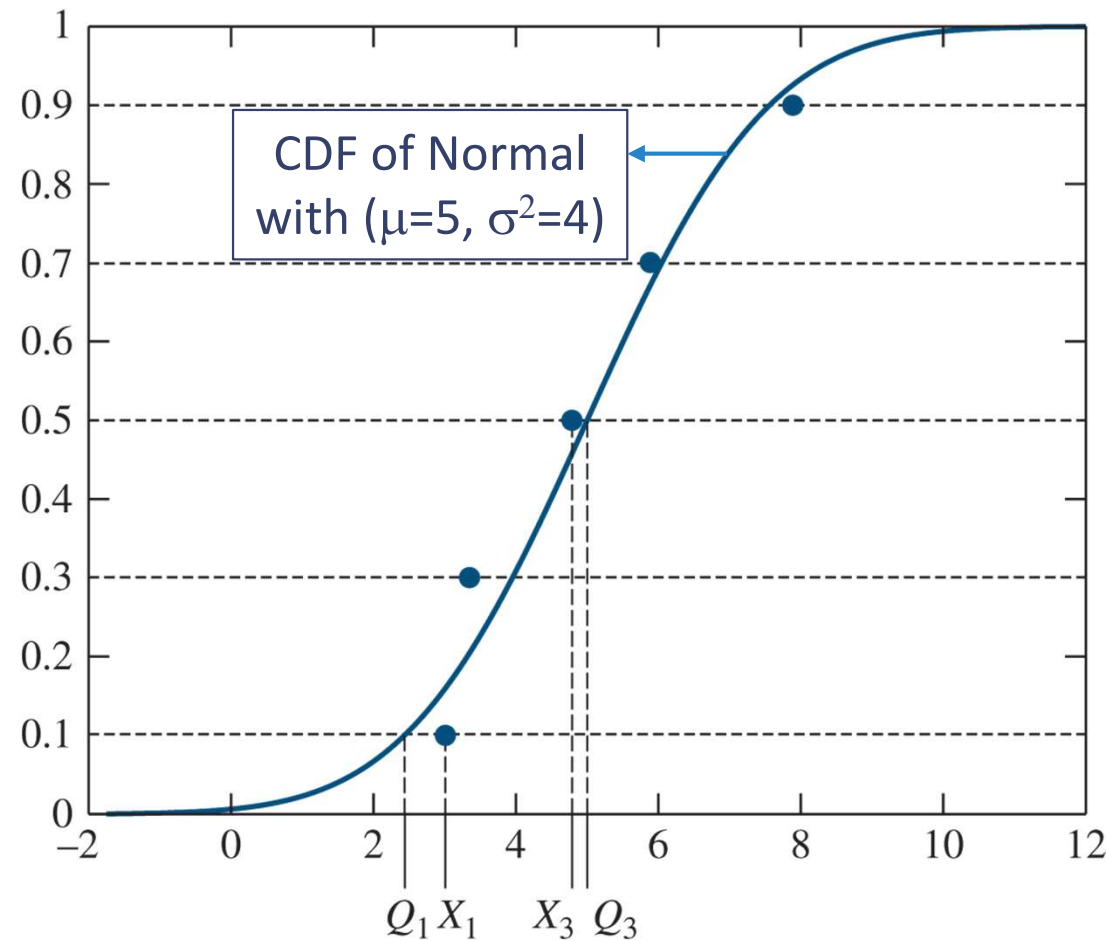
We will always use a software to plot these, so we skip the details of computing population and sample quantiles. We will learn in the lab.

Example

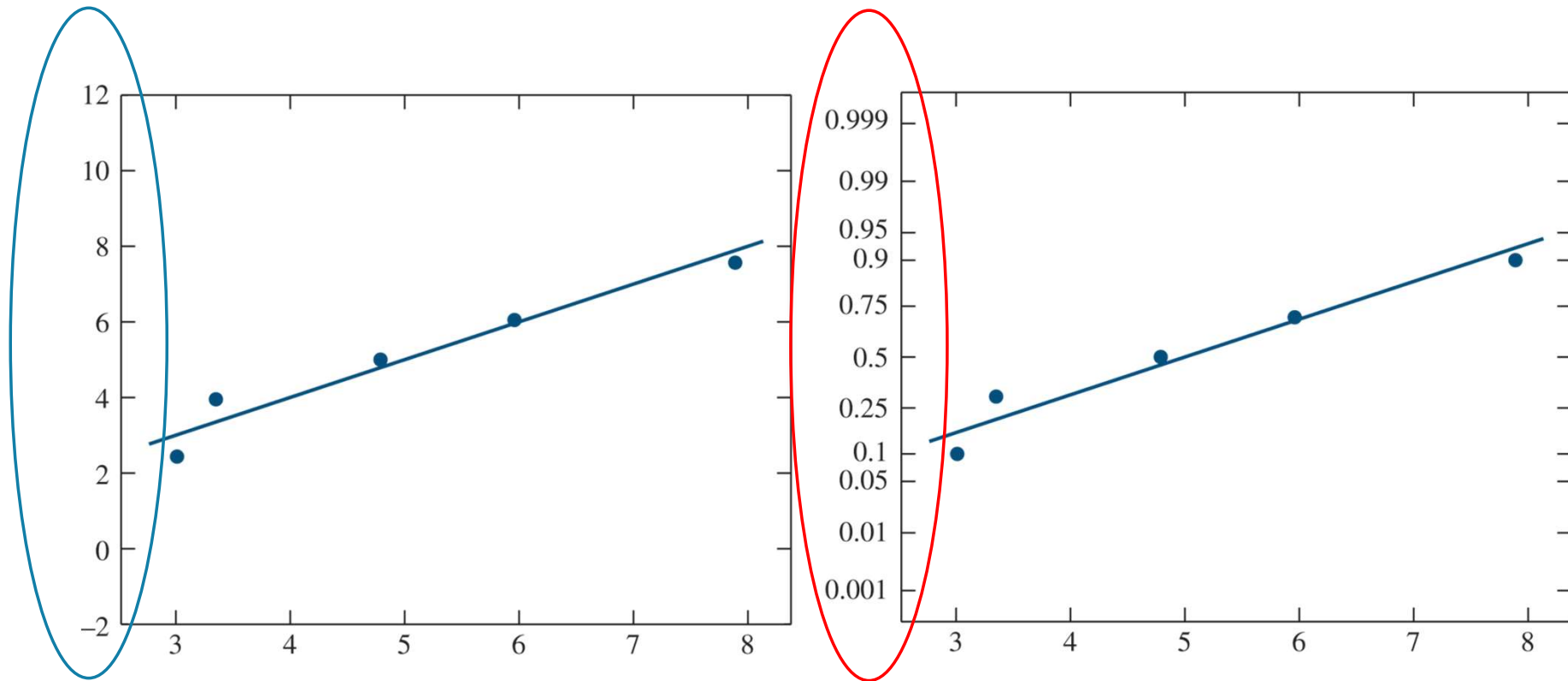
3.01, 3.35, 4.79, 5.96, 7.89

$\bar{x} = 5$ and $s = 2$

i	X_i	$(i - 0.5)/5$
1	3.01	0.1
2	3.35	0.3
3	4.79	0.5
4	5.96	0.7
5	7.89	0.9



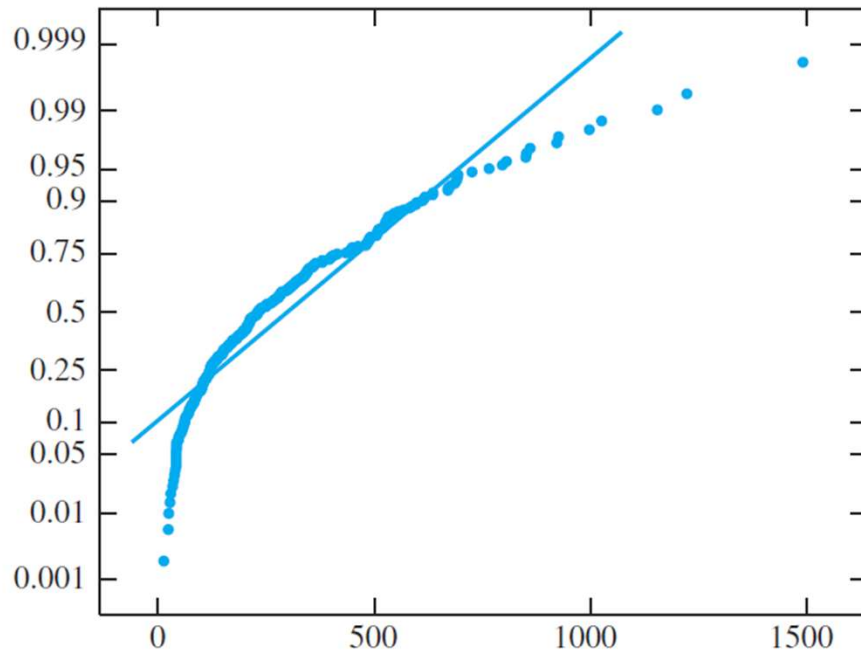
Example



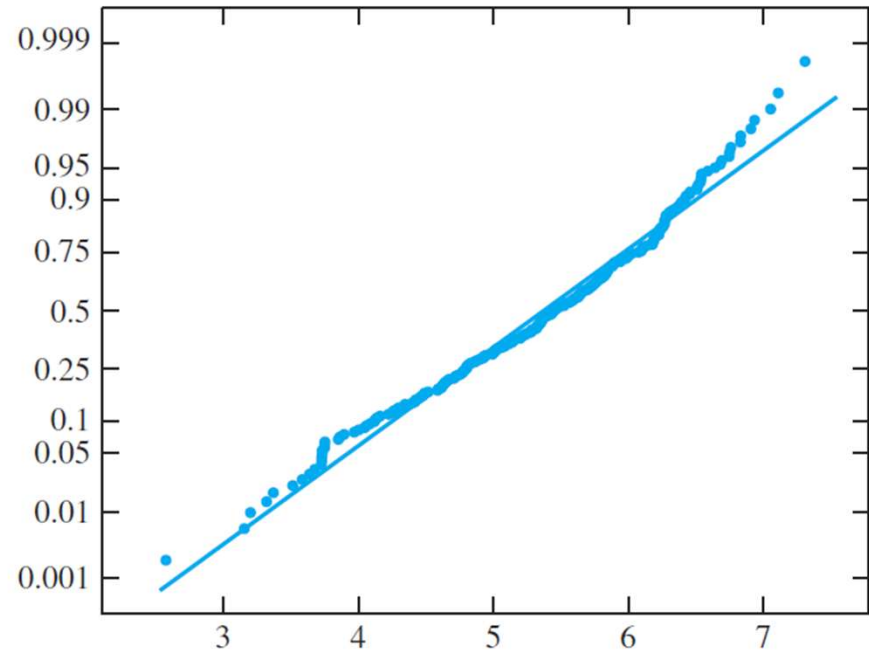
Percentiles
of $N(5,4)$

Percent corresponding
to $N(5,4)$

Normal Probability Plots

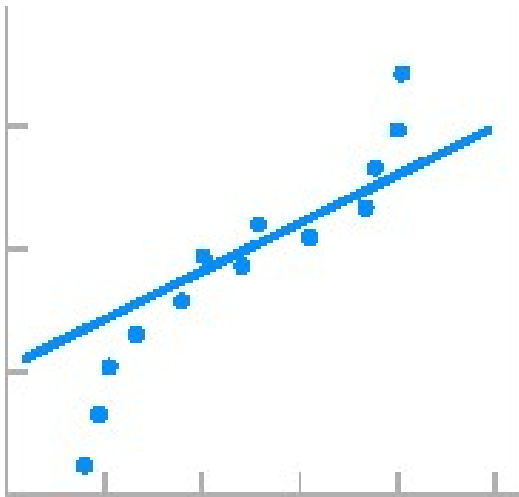


Not normal

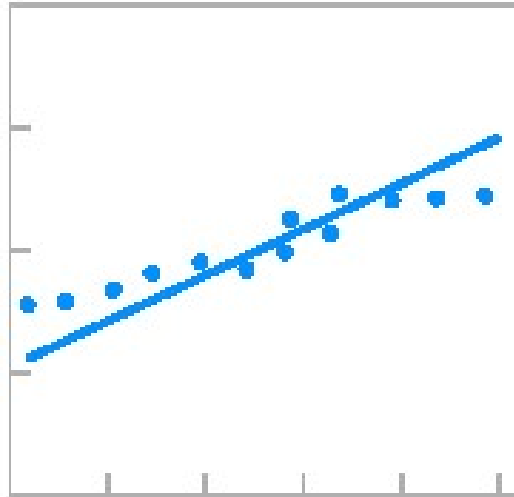


Close to normal

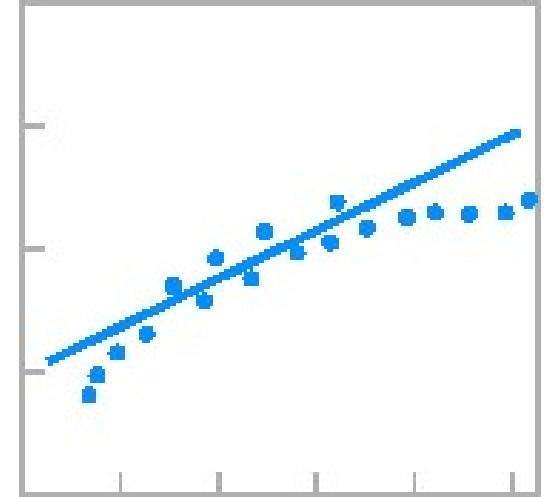
Normal Probability Plots



Symmetric and
light-tailed
distribution



Symmetric
and heavy-
tailed
distribution



A distribution
with positive (or
right) skew

$$\Phi(z) = \int_{-\infty}^z \frac{1}{\sqrt{2\pi}} e^{-\frac{y^2}{2}} dy$$

Central Limit Theorem (CLT)

$X_1, \dots, X_n$ be independent identically distributed (iid) rvs with $E(X_i) = \mu$ and $\text{Var}(X_i) = \sigma^2$. Then:

$$Z_n = \frac{S_n - n\mu}{\sigma\sqrt{n}} = \frac{\sum_{i=1}^n X_i - n\mu}{\sigma\sqrt{n}} \rightarrow Z_n \sim N(0,1) \quad \text{as } n \rightarrow \infty,$$

$$P\left(\frac{\sum_{i=1}^n X_i - n\mu}{\sigma\sqrt{n}} \leq a\right) \xrightarrow{n \rightarrow \infty} \frac{1}{\sqrt{2\pi}} \int_{-\infty}^a e^{-\frac{x^2}{2}} dx$$

Central Limit Theorem

- Central Limit Theorem [applet](#) with different distributions.
- You will observe this in Python simulations in the lab exercises and assignments.

$$\sigma^2 = \frac{(b - a)^2}{12}$$

Example for CLT

Suppose that a random variable X has a uniform distribution with parameters $(10, 70)$.

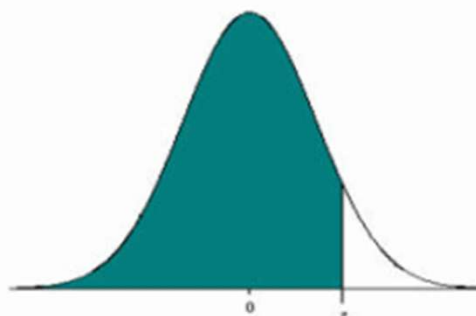
Questions on X :

- What is the mean and standard deviation of X ? $\mu = 40, \sigma = 17.32$
- What is the probability that X is larger than 44?

Questions on $\{X_1, \dots, X_n\}$:

- What is the approximate distribution of $\bar{X}$ if the sample size is 40?
- Can we find its parameters? $\mu_{\bar{X}} = 40, \sigma_{\bar{X}} = 2.74$
- What is the probability that this sample mean is larger than 44?

Table of Standard Normal Probabilities for Positive Z-scores



z	0.00	0.01	0.02	0.03	0.04	0.05	0.06	0.07	0.08	0.09
0.0	0.5000	0.5040	0.5080	0.5120	0.5160	0.5199	0.5239	0.5279	0.5319	0.5359
0.1	0.5398	0.5438	0.5478	0.5517	0.5557	0.5596	0.5636	0.5675	0.5714	0.5753
0.2	0.5793	0.5832	0.5871	0.5910	0.5948	0.5987	0.6026	0.6064	0.6103	0.6141
0.3	0.6179	0.6217	0.6255	0.6293	0.6331	0.6368	0.6406	0.6443	0.6480	0.6517
0.4	0.6554	0.6591	0.6628	0.6664	0.6700	0.6736	0.6772	0.6808	0.6844	0.6879
0.5	0.6915	0.6950	0.6985	0.7019	0.7054	0.7088	0.7123	0.7157	0.7190	0.7224
0.6	0.7257	0.7291	0.7324	0.7357	0.7389	0.7422	0.7454	0.7486	0.7517	0.7549
0.7	0.7580	0.7611	0.7642	0.7673	0.7704	0.7734	0.7764	0.7794	0.7823	0.7852
0.8	0.7881	0.7910	0.7939	0.7967	0.7995	0.8023	0.8051	0.8078	0.8106	0.8133
0.9	0.8159	0.8186	0.8212	0.8238	0.8264	0.8289	0.8315	0.8340	0.8365	0.8389
1.0	0.8413	0.8438	0.8461	0.8485	0.8508	0.8531	0.8554	0.8577	0.8599	0.8621
1.1	0.8643	0.8665	0.8686	0.8708	0.8729	0.8749	0.8770	0.8790	0.8810	0.8830
1.2	0.8849	0.8869	0.8888	0.8907	0.8925	0.8944	0.8962	0.8980	0.8997	0.9015
1.3	0.9032	0.9049	0.9066	0.9082	0.9099	0.9115	0.9131	0.9147	0.9162	0.9177
1.4	0.9192	0.9207	0.9222	0.9236	0.9251	0.9265	0.9279	0.9292	0.9306	0.9319
1.5	0.9332	0.9345	0.9357	0.9370	0.9382	0.9394	0.9406	0.9418	0.9429	0.9441
1.6	0.9452	0.9463	0.9474	0.9484	0.9495	0.9505	0.9515	0.9525	0.9535	0.9545
1.7	0.9554	0.9564	0.9573	0.9582	0.9591	0.9599	0.9608	0.9616	0.9625	0.9633
1.8	0.9641	0.9649	0.9656	0.9664	0.9671	0.9678	0.9686	0.9693	0.9699	0.9706
1.9	0.9713	0.9719	0.9726	0.9732	0.9738	0.9744	0.9750	0.9756	0.9761	0.9767
2.0	0.9772	0.9778	0.9783	0.9788	0.9793	0.9798	0.9803	0.9808	0.9812	0.9817
2.1	0.9821	0.9826	0.9830	0.9834	0.9838	0.9842	0.9846	0.9850	0.9854	0.9857
2.2	0.9861	0.9864	0.9868	0.9871	0.9875	0.9878	0.9881	0.9884	0.9887	0.9890
2.3	0.9893	0.9896	0.9898	0.9901	0.9904	0.9906	0.9909	0.9911	0.9913	0.9916
2.4	0.9918	0.9920	0.9922	0.9925	0.9927	0.9929	0.9931	0.9932	0.9934	0.9936
2.5	0.9938	0.9940	0.9941	0.9943	0.9945	0.9946	0.9948	0.9949	0.9951	0.9952
2.6	0.9953	0.9955	0.9956	0.9957	0.9959	0.9960	0.9961	0.9962	0.9963	0.9964
2.7	0.9965	0.9966	0.9967	0.9968	0.9969	0.9970	0.9971	0.9972	0.9973	0.9974
2.8	0.9974	0.9975	0.9976	0.9977	0.9977	0.9978	0.9979	0.9979	0.9980	0.9981
2.9	0.9981	0.9982	0.9982	0.9983	0.9984	0.9984	0.9985	0.9985	0.9986	0.9986
3.0	0.9987	0.9987	0.9987	0.9988	0.9988	0.9989	0.9989	0.9989	0.9990	0.9990
3.1	0.9990	0.9991	0.9991	0.9991	0.9992	0.9992	0.9992	0.9992	0.9993	0.9993
3.2	0.9993	0.9993	0.9994	0.9994	0.9994	0.9994	0.9994	0.9995	0.9995	0.9995
3.3	0.9995	0.9995	0.9995	0.9996	0.9996	0.9996	0.9996	0.9996	0.9996	0.9997
3.4	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9998

Example 23

If a fair coin is tossed 100 times, use the normal curve to approximate the probability that the number of heads is between 45 and 55 *inclusive*.

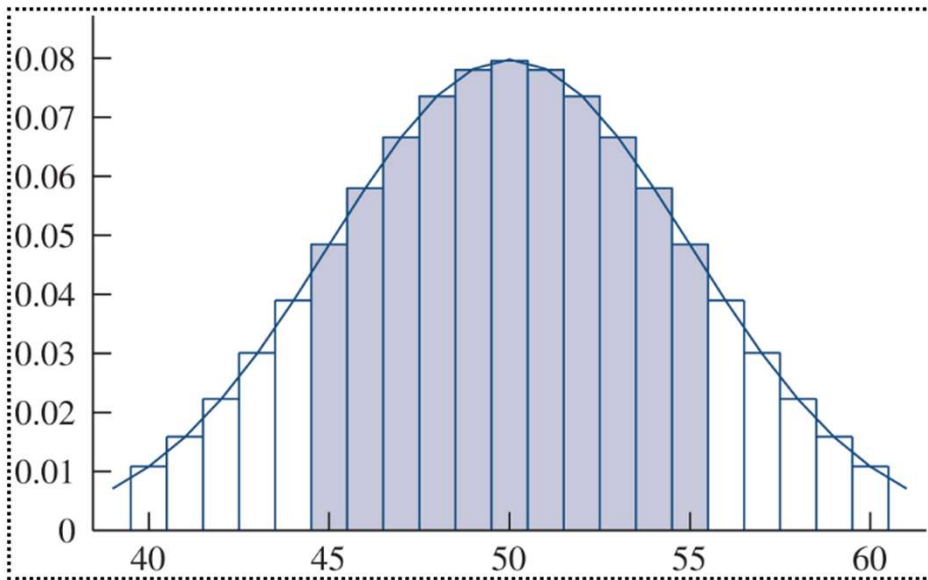


FIGURE 4.28 To compute $P(45 \leq X \leq 55)$, the areas of the rectangles corresponding to 45 and to 55 should be included. To approximate this probability with the normal curve, compute the area under the curve between 44.5 and 55.5.

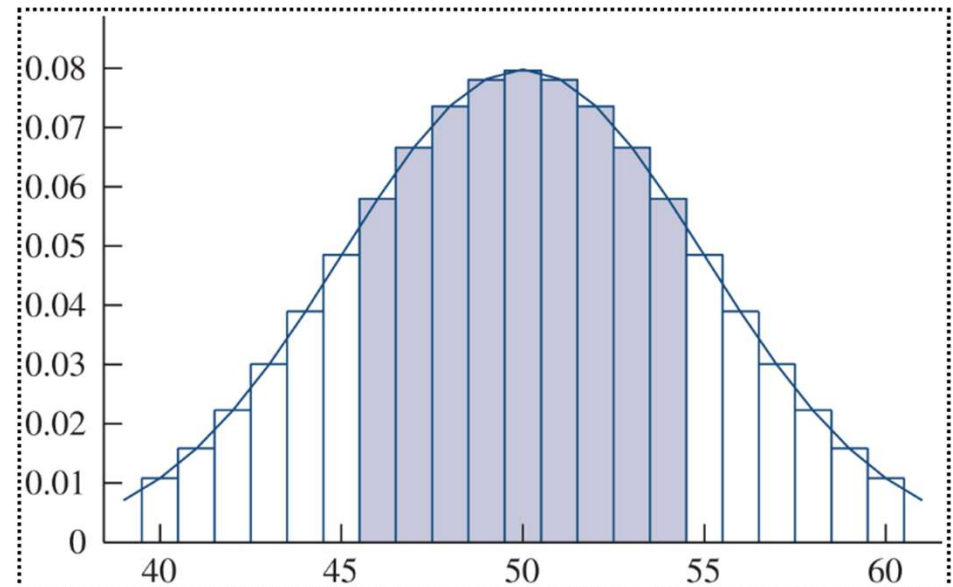
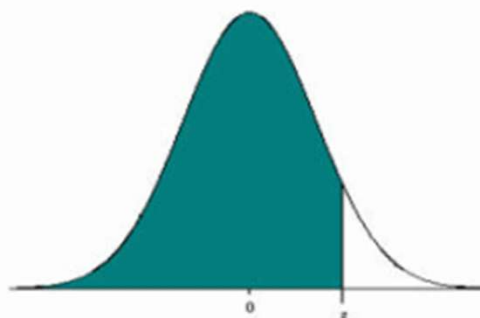


FIGURE 4.29 To compute $P(45 < X < 55)$, the areas of the rectangles corresponding to 45 and to 55 should be excluded. To approximate this probability with the normal curve, compute the area under the curve between 45.5 and 54.5.

Table of Standard Normal Probabilities for Positive Z-scores



z	0.00	0.01	0.02	0.03	0.04	0.05	0.06	0.07	0.08	0.09
0.0	0.5000	0.5040	0.5080	0.5120	0.5160	0.5199	0.5239	0.5279	0.5319	0.5359
0.1	0.5398	0.5438	0.5478	0.5517	0.5557	0.5596	0.5636	0.5675	0.5714	0.5753
0.2	0.5793	0.5832	0.5871	0.5910	0.5948	0.5987	0.6026	0.6064	0.6103	0.6141
0.3	0.6179	0.6217	0.6255	0.6293	0.6331	0.6368	0.6406	0.6443	0.6480	0.6517
0.4	0.6554	0.6591	0.6628	0.6664	0.6700	0.6736	0.6772	0.6808	0.6844	0.6879
0.5	0.6915	0.6950	0.6985	0.7019	0.7054	0.7088	0.7123	0.7157	0.7190	0.7224
0.6	0.7257	0.7291	0.7324	0.7357	0.7389	0.7422	0.7454	0.7486	0.7517	0.7549
0.7	0.7580	0.7611	0.7642	0.7673	0.7704	0.7734	0.7764	0.7794	0.7823	0.7852
0.8	0.7881	0.7910	0.7939	0.7967	0.7995	0.8023	0.8051	0.8078	0.8106	0.8133
0.9	0.8159	0.8186	0.8212	0.8238	0.8264	0.8289	0.8315	0.8340	0.8365	0.8389
1.0	0.8413	0.8438	0.8461	0.8485	0.8508	0.8531	0.8554	0.8577	0.8599	0.8621
1.1	0.8643	0.8665	0.8686	0.8708	0.8729	0.8749	0.8770	0.8790	0.8810	0.8830
1.2	0.8849	0.8869	0.8888	0.8907	0.8925	0.8944	0.8962	0.8980	0.8997	0.9015
1.3	0.9032	0.9049	0.9066	0.9082	0.9099	0.9115	0.9131	0.9147	0.9162	0.9177
1.4	0.9192	0.9207	0.9222	0.9236	0.9251	0.9265	0.9279	0.9292	0.9306	0.9319
1.5	0.9332	0.9345	0.9357	0.9370	0.9382	0.9394	0.9406	0.9418	0.9429	0.9441
1.6	0.9452	0.9463	0.9474	0.9484	0.9495	0.9505	0.9515	0.9525	0.9535	0.9545
1.7	0.9554	0.9564	0.9573	0.9582	0.9591	0.9599	0.9608	0.9616	0.9625	0.9633
1.8	0.9641	0.9649	0.9656	0.9664	0.9671	0.9678	0.9686	0.9693	0.9699	0.9706
1.9	0.9713	0.9719	0.9726	0.9732	0.9738	0.9744	0.9750	0.9756	0.9761	0.9767
2.0	0.9772	0.9778	0.9783	0.9788	0.9793	0.9798	0.9803	0.9808	0.9812	0.9817
2.1	0.9821	0.9826	0.9830	0.9834	0.9838	0.9842	0.9846	0.9850	0.9854	0.9857
2.2	0.9861	0.9864	0.9868	0.9871	0.9875	0.9878	0.9881	0.9884	0.9887	0.9890
2.3	0.9893	0.9896	0.9898	0.9901	0.9904	0.9906	0.9909	0.9911	0.9913	0.9916
2.4	0.9918	0.9920	0.9922	0.9925	0.9927	0.9929	0.9931	0.9932	0.9934	0.9936
2.5	0.9938	0.9940	0.9941	0.9943	0.9945	0.9946	0.9948	0.9949	0.9951	0.9952
2.6	0.9953	0.9955	0.9956	0.9957	0.9959	0.9960	0.9961	0.9962	0.9963	0.9964
2.7	0.9965	0.9966	0.9967	0.9968	0.9969	0.9970	0.9971	0.9972	0.9973	0.9974
2.8	0.9974	0.9975	0.9976	0.9977	0.9977	0.9978	0.9979	0.9979	0.9980	0.9981
2.9	0.9981	0.9982	0.9982	0.9983	0.9984	0.9984	0.9985	0.9985	0.9986	0.9986
3.0	0.9987	0.9987	0.9987	0.9988	0.9988	0.9989	0.9989	0.9989	0.9990	0.9990
3.1	0.9990	0.9991	0.9991	0.9991	0.9992	0.9992	0.9992	0.9992	0.9993	0.9993
3.2	0.9993	0.9993	0.9994	0.9994	0.9994	0.9994	0.9994	0.9995	0.9995	0.9995
3.3	0.9995	0.9995	0.9995	0.9996	0.9996	0.9996	0.9996	0.9996	0.9996	0.9997
3.4	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9997	0.9998

Normal approximation to Binomial (DeMoivre-Laplace theorem)

We can have a slightly refined approximation by a small correction to account for the discreteness of the Binomial distribution.

$P(X \leq x) \approx$ area under the normal curve to the left of $x + 0.5$
or equivalently:

$$P(k \leq X \leq l) \cong \Phi\left(\frac{l + 0.5 - np}{\sqrt{np(1-p)}}\right) - \Phi\left(\frac{k - 0.5 - np}{\sqrt{np(1-p)}}\right)$$

Continuity Correction

The binomial distribution is discrete, while the normal distribution is continuous.

The continuity correction is an adjustment, made when approximating a discrete distribution with a continuous one, that can improve the accuracy of the approximation.

If you want to include the endpoints in your probability calculation, then extend each endpoint by 0.5. Then proceed with the calculation.

If you want exclude the endpoints in your probability calculation, then include 0.5 less from each endpoint in the calculation.

Normal Approximation to the Poisson

If $X \sim \text{Poisson}(\lambda)$, where $\lambda > 10$, then $X \sim N(\lambda, \lambda)$.

No use of continuity correction for Poisson, since it does not always improve the approximation.

The number of hits on a website follows a Poisson distribution with $\lambda = 27$.
Find an approximate probability of observing at least 90 hits in three hours.